GROWTH CAPITAL SERVICES

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# Project Funding

Construction finance checklist for builders and developers.

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**Benchmarks vary by lender.** The points in sections 1 and 2 are what construction finance lenders usually look at first. A project that misses one or two can still be reviewed, but it helps to know where you stand before you apply. Sections 3 to 7 are the papers to keep ready.

## 1 BUILDER / DEVELOPER PROFILE

What lenders usually look for in the builder

| | | DETAILS |
|---|---|---|
| 1.1 | Projects completed to date | **8 to 10 or more** |
| 1.2 | Area delivered (possession handed over) | **5 lakh sq. ft. or more** |
| 1.3 | Experience in the real estate sector | **8 to 10 years or more** |
| 1.4 | Construction finance / term loan track record | DETAILS OF ONGOING AND CLOSED LOANS |
| 1.5 | Projects currently under execution | **2 or more** |
| 1.6 | Reference check | POSITIVE, FROM REPUTED DEVELOPERS, FINANCIAL INSTITUTIONS OR PROPERTY CONSULTANTS |

## 2 PROPOSED RESIDENTIAL PROJECT

What lenders usually look for in the project

| | | DETAILS |
|---|---|---|
| 2.1 | Funding requirement | **Minimum Rs.5 Cr** |
| 2.2 | Ownership of the project land | BUILDER-OWNED, OR JOINT VENTURE |
| 2.3 | Population of the city / town | **More than 3 lakh, as per the last census** |
| 2.4 | Stage of construction | ABOVE PLINTH LEVEL |
| 2.5 | Units sold at the time of sanction | **At least 10% of total units** |
| 2.6 | Average cost of units in the project | AVERAGE UNIT PRICE |
| 2.7 | Approval of the project | MUNICIPAL CORPORATION / TOWN PLANNING AUTHORITY |
| 2.8 | Distance from the city centre and Municipal Corporation | **Less than 50 km** |
| 2.9 | Distance from a National Highway | **Less than 10 km** |
| 2.10 | Distance from the nearest railway station | **Less than 10 km** |
| 2.11 | Builder's equity in the project | **At least 50% of the proposed loan amount** |
| 2.12 | Websites | BUILDER'S AND PROJECT'S WEB ADDRESSES |

## 3 KYC DOCUMENTS

Applicant firm / company, and all Partners or Directors

| | | DETAILS |
|---|---|---|
| 3.1 | Photo ID — PAN card & Aadhaar card of every Partner / Director / Proprietor | |
| 3.2 | Address proof of each Partner / Director — latest electricity bill, passport, or rent agreement | |
| 3.3 | Permanent address proof | IF CURRENT RESIDENCE ADDRESS IS DIFFERENT |
| 3.4 | Passport size photographs | |
| 3.5 | PAN card of the firm / company | |
| 3.6 | Certificate of Incorporation, Partnership Deed, or LLP Agreement | |
| 3.7 | Registered office and site office address proof | |

| 4 | BUILDER FINANCIALS & BUSINESS PROOF | DETAILS |
|---|---|---|
| 4.1 | Audited balance sheet, profit & loss account and CA reports | **Last 3 years** |
| 4.2 | Income Tax Returns of the firm / company with computation of income | **Last 3 years** |
| 4.3 | ITRs of all Partners / Directors with computation of income | **Last 2 years** |
| 4.4 | Bank statements of all current and savings accounts, including the RERA account | **Last 12 months** |
| 4.5 | GST registration certificate and **GSTR 3B** returns | **Last 12 months** |
| 4.6 | Memorandum & Articles of Association, or Partnership Deed, with the list of Directors / Partners and shareholding on letterhead, attested by CA | |
| 4.7 | Board resolution / partners' authority letter to borrow and create security | |
| 4.8 | Net worth statement of promoters, and CIBIL consent of the firm and promoters | |
| 4.9 | List of all completed and ongoing projects | AREA, UNITS, STATUS, SALES AND FUNDING |
| 4.10 | Details of all existing loans — sanction letters and loan statements of account | IF ANY |
| 4.11 | Group company details and contingent liabilities, including guarantees given | IF ANY |

| 5 | PROJECT DOCUMENTS | DETAILS |
|---|---|---|
| 5.1 | Detailed project report | COST, FUNDING PLAN, SALES AND CASH FLOW PROJECTIONS |
| 5.2 | Approved building plans, Intimation of Disapproval (IOD) and Commencement Certificate | |
| 5.3 | RERA registration certificate and RERA quarterly updates | |
| 5.4 | Approvals / NOCs from authorities | FIRE, ENVIRONMENT, AIRPORT AND OTHERS, AS APPLICABLE |
| 5.5 | Cost of the project and cost incurred to date | CA / ENGINEER CERTIFICATE |
| 5.6 | Construction schedule and architect's / engineer's certificate of progress | |
| 5.7 | Proof of promoter's contribution (equity / margin) already put into the project | |
| 5.8 | Escrow / RERA account details and a statement of the account | |

| 6 | LAND & TITLE DOCUMENTS | DETAILS |
|---|---|---|
| 6.1 | Title deeds of the project land | **Chain of title for the last 30 years** |
| 6.2 | 7/12 extract / property card / city survey records and mutation entries | |
| 6.3 | Title search report and legal opinion on the land from an empanelled advocate | |
| 6.4 | Development Agreement / Joint Venture Agreement and Power of Attorney | IF JV OR DEVELOPMENT LAND |
| 6.5 | Encumbrance certificate | **Last 30 years** |
| 6.6 | NOC from existing lenders and release of charge | IF THE LAND IS ALREADY MORTGAGED |
| 6.7 | Latest property tax receipts and land revenue receipts | |

| 7 | SALES STATUS | DETAILS |
|---|---|---|
| 7.1 | Unit-wise sales statement | BOOKED, SOLD, UNSOLD, AND AMOUNT RECEIVED |
| 7.2 | Copies of allotment letters / agreements for sale of the units sold | |
| 7.3 | Pricing sheet and payment schedules | AVERAGE PRICE PER UNIT AND PER SQ. FT. |
| 7.4 | Customer collections in the RERA account | STATEMENT OF RECEIPTS |
| 7.5 | Marketing and website details of the project | |

## 8 FILL IN YOUR DETAILS

Optional. Fill this in and we can tell you quickly where the project stands

### Builder profile

NUMBER OF PROJECTS COMPLETED TILL DATE

AREA DELIVERED TILL DATE (SQ. FT.)

YEARS OF EXPERIENCE IN REAL ESTATE

PROJECTS CURRENTLY UNDER EXECUTION

DETAILS OF ONGOING / CLOSED CF OR TERM LOANS

DETAILS OF REFERENCE CHECKS DONE

### Project

CONSTRUCTION FINANCE NEEDED (RS. CR)

LAND: BUILDER-OWNED OR JOINT VENTURE

CITY / TOWN AND ITS POPULATION

CURRENT STAGE OF CONSTRUCTION

UNITS SOLD / TOTAL UNITS IN THE PROJECT

AVERAGE PRICE PER UNIT (RS.)

PROJECT APPROVED BY

DISTANCE FROM MUNICIPAL CORPORATION (KM)

DISTANCE FROM NATIONAL HIGHWAY (KM)

DISTANCE FROM RAILWAY STATION (KM)

BUILDER'S EQUITY INVESTED (RS. CR)

BUILDER WEBSITE

PROJECT WEBSITE